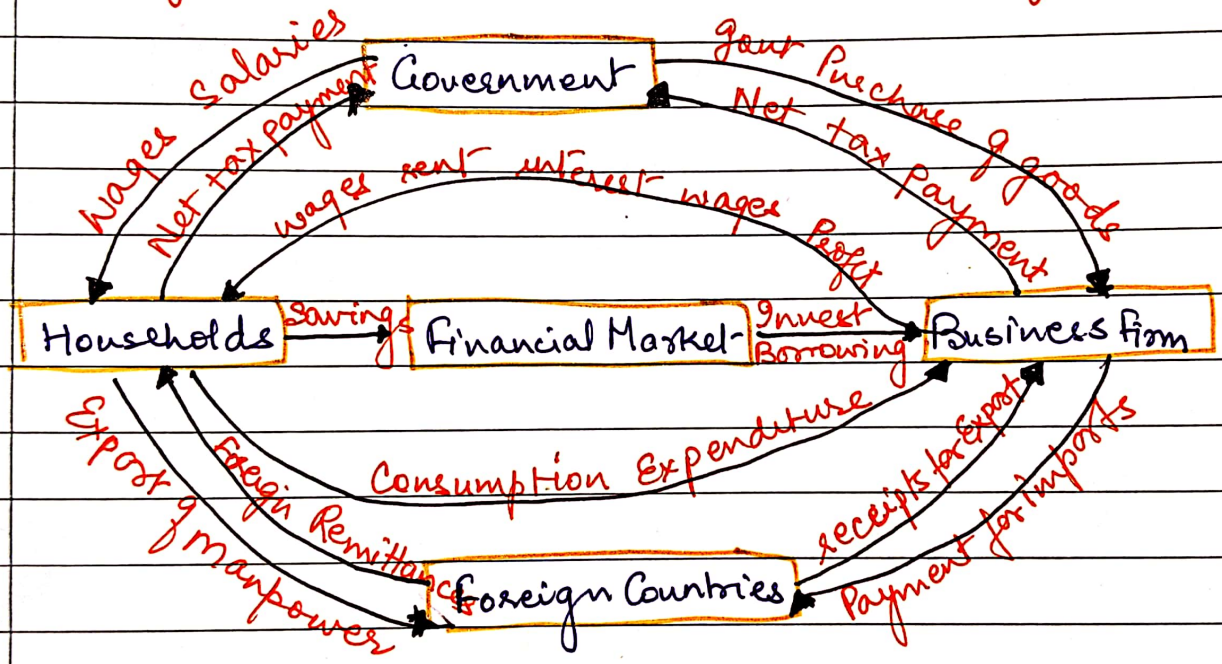
Topic NATIONAL INCOME Date

Meaning of National income

National income of a country can be defined as total market value of all final goods and services produced in a economy in a year.

Money Flows in Four Sector Open economy –



CONCEPTS OF NATIONAL INCOME

GROSS DOMESTIC PRODUCT (GDP)

GDP is defined as total market value of all final goods and services produced in a year in the domestic territory of a country.

(1) Monetary measure (2) market value of annual output (3) only final goods & services

ignores the intermediate goods.

* Final goods are those goods which are purchased for final use and not for resale or further processing

* Intermediate goods are those goods which are purchased for further processing or resale.
cloth worth 2000 cotton (raw) worth 1000
cloth includes the value of raw cotton we will not add both seperately.

Further it is flow concept output of goods & services in a year. Market transactions of goods produced in previous year old house cars etc are not included in GDP of that (current) year.

GDP refers value of goods & services currently produced by normal residents of a country working within domestic territory (national & non national companies → (they will send only their profits to their own country)

$$GDP = C + I + G + NX$$

C = value of final goods & services produced in a year & consumed by households.

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I Gross private investment-

Value of new capital goods produced and addition to the inventories of goods such as raw materials, unfinished goods & Consumer goods produced but not sold during year

G – Purchase of goods & services by the Government

NX → (X–M)

NX – net exports – value of goods exported (X) minus value of goods imported (M)

$$GDP = C + I + G + NX$$

GROSS NATIONAL PRODUCT (GNP)

GNP is money value of all final goods & services produced by normal residents as well as non residents in domestic territory of country and includes net factor income from abroad

$$GNP_{MP} = GDP_{MP} + \text{Net factor income from abroad}$$

Net factor income from abroad is the difference between factor income recieved from abroad by normal residents of India for rendering their factor services in other countries

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on one hand and the factor income paid to foreign residents for factor services rendered by them in domestic territory of India on other.

NIFA includes –

1. Net Compensation to employees
2. Net income from property (profits dividends, interest, rent)
3. Net retained earnings of residents companies working in foreign countries

NET DOMESTIC PRODUCT (NDP)

$NDP_{MP} = GDP_{MP} - Depreciation$

Depreciation – Fall in value of fixed capital due to wear & tear due to used in production process is called depreciation

NDP_{MP} – Indirect Taxes + Subsidies = NDP_{FC}

$GNP_{MP} - Depreciation = NNP_{MP}$

Net National Product

~~GNP_{MP}~~ NNP_{MP} – Indirect Tax + Subsidy

$= NNP_{FC}$ or national income

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Personal income = National income – Sowal Security Contributions – Corporate income taxes – Undistributed Corporate Profits + Transfer payment

Personal income is sum of all income actually received by all individuals or households during a given year

Some income are earned such as Sowal Security Contributions, corporate income taxes & undistributed corporate profits are not actually received by by household while Some income which are recieved like Transfer payments are not currently earned (old age pension, unemployment compensation relief payments interest payment on public debt etc)

Personal Disposable income (PDI)

PDI = Personal income – Personal Taxes

PDI = Consumption + Saving

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Measurement of National Income

1 Output Method / Production Method / value added Method

- Agriculture, fishing mining construction, manufacturing trade commerce transport communication
- The quantity of goods & services produced by particular enterprise multiplied by their market prices is called value of output.

- Gross value added at market price (GVA_{MP}) = Value of output — Intermediate Consumption
- NVA_{MP} = GVA_{MP} — Depreciation
- NVA_{FC} = NVA_{MP} — Indirect taxes
- We add up NVA_{FC} by all industries or sectors & get NDP_{FC}
- Then add NFIA to NDP_{FC} to get NNP_{FC}

PRECAUTIONS —

- Self occupied houses should not be included in value of output
- Sale & purchase of second hand goods not included
- Value of services of housewives are not included
- Value of intermediate goods must not be included to avoid double counting.

2 Income Method :- National income is obtained by summing up of the incomes of

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the incomes of all individuals of a country

1. Compensation to employees → includes wages & salaries, employer's contribution to social security schemes
2. Rent & royalty
3. Interest
4. Profits → (a) dividends (b) undistributed profits (c) corporate income tax.
5. Mixed income of self employed

Summing up all gives us NDP_{FC}
Finally by adding net factor income from abroad (NFIA) is called NNP_{FC} or National income.

Expenditure Method :-

(a) Expenditure on consumer goods & services by individuals & households. (C) private cons: exp:
(b) Govt: exp: on goods & services to satisfy collective wants (G)
(c) The expenditure by productive enterprises on capital goods & inventories or stock. (I)
d. Net exports (x − M) (x = export) (M = import)

$$GDP_{MP} = C + I + G + (x - M)$$

(4) Net indirect Taxes = Indirect Taxes − Subsidies

NDP_{MP} − net indirect tax = NDP_{FC}

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Difficulties in Measuring National income –

1. Treatment of non monetary transaction eg services of housewives, farm output consumed at home
2. Non monetised Sector or transactions
3. Illiteracy – do not keep regular accounts
4. Occupational Specialisation is incomplete
5. lack of adequate statistical data

Nominal GNP – money value of all final goods & services produced during a year. The money value is obtained using current year market prices of final goods & services

Real GNP – output of final goods & services produced in a year using market prices that prevailed in certain chosen year (Base year) ∴ To eliminate effect of price rise

NEW Net Economic welfare =
{ Real GNP – Depreciation + Value of leisure + Value of non market activities (Housewives & personal services) – Environment pollution – Regrettable Costs

Green GNP = In estimating real GDP or national income the costs of pollution of air & water by the firms in production process of goods must be subtracted to arrive at Green GDP or Green GNP

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